

Worksheet — Factors of Production

UT pattern. Tap objective options to self-check; write out the longer answers.

Objective (1 mark each)

Q1 • MCQ

[1]

Which of the following is NOT a factor of production?

- (a) Land (b) Labour (c) Interest (d) Capital

Q2 • MCQ

[1]

In economics, the term "land" includes —

- (a) only the ground we build on (b) all natural resources like soil, water, minerals and forests
(c) only agricultural fields (d) machines and factories

Q3 • MATCH THE FOLLOWING

[1]

1. Reward for labour 2. Reward for capital

A. Interest B. Wages

- (a) 1-B, 2-A (b) 1-A, 2-B (c) 1-B, 2-B (d) 1-A, 2-A

Q4 • FILL IN THE BLANK

[1]

_____ refers to the specialised skills, knowledge and expertise required to perform labour.

Q5 • FILL IN THE BLANK

[1]

The profit a company pays to its shareholders is called a _____.

Q6 · FILL IN THE BLANK

[1]

The Japanese concept of continuous improvement is called _____.

Q7 · ASSERTION-REASON

[1]

Assertion (A): India can benefit from a demographic dividend.

Reason (R): About 65% of India's people are below the age of 35, giving it a young, working population.

- (a) Both A and R are correct and R is the correct explanation of A
(b) Both A and R are correct but R is not the correct explanation of A
(c) A is correct but R is wrong (d) A is wrong but R is correct

Q8 · CHOOSE THE CORRECT STATEMENT

[1]

Which statement about capital is correct?

- (a) Capital means only cash/money
(b) Capital includes money plus human-made assets like machinery and tools
(c) Capital is a natural resource (d) Capital is the effort put in by workers

Q9 · MCQ

[1]

Who started India's first airline, Tata Airlines, in 1932?

- (a) Bibek Debroy (b) J.R.D. Tata (c) Ratna (d) Tadar Mal

Q10 · MCQ

[1]

Production that relies more on machinery than on workers is called —

- (a) labour-intensive (b) capital-intensive (c) land-intensive (d) skill-intensive

Short Answer (2 marks each)

Q11

[1+1=2]

What is Human Resource? Give two examples.

Q12

[2]

Name the four factors of production and the reward earned by each.

Q13

[1+1=2]

Differentiate between labour and human capital.

Long Answer (3 marks each)

Q14

[3]

How does human capital differ from physical capital?

Q15

[3]

Explain any three facilitators of human capital.

Q16

[3]

What are the sources of capital for a business? Explain briefly.

Very Long Answer (5 marks · internal choice)

Q17

[5]

Who is an entrepreneur? Explain the five main tasks performed by an entrepreneur.

OR

What responsibilities do producers have towards natural resources and their workers? Explain, including CSR.

Passage-Based (Q18)

Q18 · READ & ANSWER

[1+1+1=3]

"When she started five years ago, Ratna had to choose a location, organise money for rent and equipment, hire staff, buy ingredients, and plan how to make her dream a success. Businesses combine various inputs or factors of production to create goods and services."

- (i) When Ratna pays rent for her location, which factor of production is she using?
(ii) When she hires staff, which factor is that?
(iii) Ratna took a bank loan when savings fell short — what does she pay the bank for using its money?
